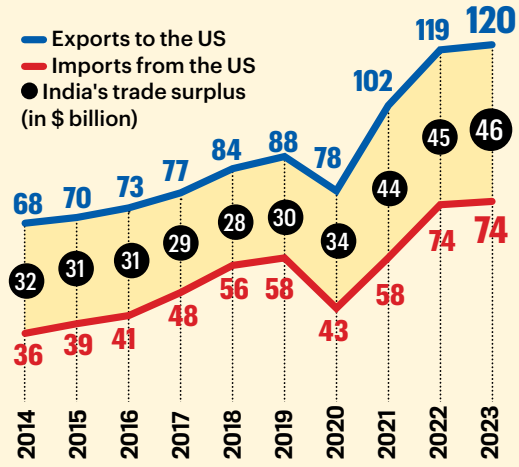
TARIFF TIGHTROPE

INDO-US TRADE: GOODS & SERVICES

INDIA'S EXPORT BOOM

Exports to the US have steadily risen over the past decade (barring 2020), while imports grew moderately. The trade surplus widened, highlighting India's strong position with its largest partner



TOTAL TRADE (2023): $194 BN

● EXPORTS TO THE US ● IMPORTS FROM THE US

AUTOMOBILES

CARS

$37 MN (CY23)

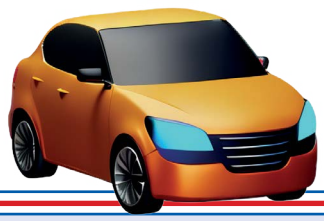
US tariff
CARS 2.5%
Trucks 25%
Motorcycles 2.4% or 0%

Nil

India tariff*
Motor vehicles over $40,000: 70%
Used cars and other vehicles: 70%
CKD kits 10%

*post Budget 2025

IMPACT
Hiked US tariffs won't impact Indian car exports much, given low volumes. Lowering import tariffs could help US firms like Tesla but would mainly affect the high-end segment, with little impact on local manufacturers



MOTORCYCLES

$2.4 BN (CY23)

US tariff 2.4% (includes bicycles)

$3 MN (CY24)

India tariff
Engines above 1,600cc 30%
Engines below 1,600cc 40%
SKD units 20%
CKD units 10%



IMPACT
A US tariff hike will impact motorcycle exports from firms like Royal Enfield, while lower import duties in India will benefit US brands like Harley-Davidson

SKD: Semi Knocked-Down
CKD: Completely Knocked-Down

AGRICULTURE

PULSES

Nil
US tariff 0%

$2.6 BN (CY23)
India tariff 0-20%



IMPACT
India is unlikely to lower tariff as it pursues the National Pulses Mission for self-sufficiency. It has not signed the WTO Agreement on Agriculture and retains sovereign rights over agricultural trade

APPLES

Nil
US tariff 1.1%

$600 MN
India tariff 50%



IMPACT
Lowering tariffs is politically sensitive in Himachal Pradesh, Kashmir and Uttarakhand, where growers seek stricter non-tariff barriers

TEXTILES*

FY24 (Jan. to Nov.)

$9.7 BN
US MFN tariff# 8-9%

$186 MN
India MFN tariff# 24%

IMPACT
The US accounts for 29% of India's textile and apparel exports. Without a trade pact, India's exports face MFN tariffs, but a major impact on these labour-intensive sectors is unlikely

**Includes apparel, finished leather, leather garments, leather footwear and components*



Sources: RIS based on UN Comtrade, online; India Ratings & Research; MVIRDC WTC Mumbai; Office of the US Trade Representative